

stock brokers earn high incomes. They have access to large amounts of research data. Also, they pay less than other people when they trade securities because they earn their own commissions. Are all these high-income-producing investment advisors wealthy? Not by a long shot.

We have asked many stock brokers about this issue. Perhaps one individual stock broker stated it best when he told us:

I'd be rich if I would just keep ... [my stocks, but I] can't help but make trades in my own portfolio. I'm looking at the screen every day.

Keep in mind that this broker's net annual income is in excess of \$200,000. But because he's a very active investor, he rarely allows the investment seeds he sows to grow. Any short-term realized gains he enjoys are taxed immediately. He is not the type of broker a millionaire prefers to patronize. Then what type do they prefer? Far less active investors. They prefer to deal with those who believe in buying based on considerable studying and then holding.

Let's return to our case studies, Drs. North and South, to see financial planning in action.

COMPARING TIMES

Dr. North allocates about ten hours in a typical month, or 120 hours a year, to studying and planning his future investment decisions (see [Table 3-6](#)). In contrast, Dr. South allocates three hours a month, or fewer than forty hours a year.

TABLE 3-6
HOURS ALLOCATED: DR. NORTH VS. DR. SOUTH
CONTRASTED WITH SAMPLES OF PAWS AND UAWS